Credit Risk Definitions (CRD-005)

Version 1.0 | Fictional document created for the FinGuard AI portfolio project.

1. Purpose

This glossary defines standard credit risk terms used across risk documents. The credit risk module of this platform is not yet implemented; these definitions are provided for reference.

2. Core Definitions

Definitions follow common industry practice and are simplified for educational use.

2.1 Default

A borrower is considered in default when a payment is more than 90 days past due, or when the lender judges that the borrower is unlikely to pay in full without collateral action.

2.2 Probability of Default (PD)

PD is the estimated likelihood that a borrower defaults within a given horizon, usually 12 months.

2.3 Loss Given Default (LGD)

LGD is the share of the exposure expected to be lost if default occurs, after recoveries.

2.4 Exposure at Default (EAD)

EAD is the total amount the lender is exposed to at the time of default.

3. Expected Loss

Expected loss is calculated as PD multiplied by LGD multiplied by EAD. It is an estimate, not a forecast of actual losses.